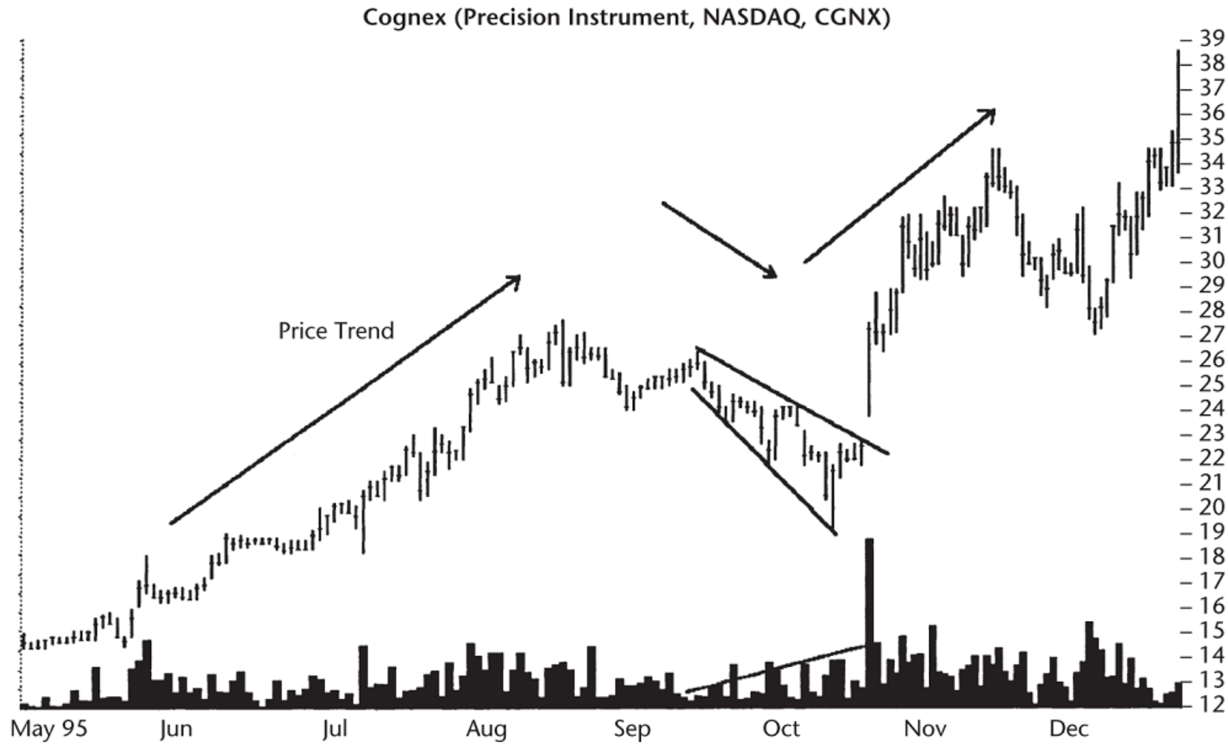

Figure 13.1 This descending broadening wedge acts as a consolidation of the upward trend. Two down-sloping trendlines outline price action that broadens out. Volume usually increases over time.

As you look at the chart, you may make an interesting observation. The price trend has three stages: The first stage is the long bull-run to August 1995, leading to a 2-month retrace (second stage), and then price moves higher (third stage). I show those stages in the figure by arrows.

This broadening formation acts as part of a consolidation or retrace of the upward primary trend. Price enters the pattern from below and exits out the top. Taken as a whole, it looks like the corrective phase of a measured move up chart pattern.

Contrast Figure 13.1 with **Figure 13.2**, where a descending broadening wedge acts as a reversal of the intermediate-term price trend. Price peaks in May 1992 and heads lower. During August, price begins to broaden out as the stock continues its downward spiral. By mid-September, a descending broadening wedge has formed.

Volume is low at the start of the wedge but does have a few spikes. Into September, volume moves up and becomes even more irregular. At the start of October, as price begins rising, volume recedes. Price pierces the top